

1.4 POSITIVE AND NORMATIVE STATEMENTS

1986/AL/II/01

Economics is a science because

- A. economic predictions are stated in the form of 'if A happens then B will necessarily follow'.
- B. of the widespread application of mathematical and statistical methods in economic research.
- C. (out of syllabus)
- D. it helps to improve society.

1986/AL/II/02

Economic theory is useful because

- A. (out of syllabus)
- B. it is always true.
- C. it can be rejected by evidence.
- D. it tells us what is right or wrong.

1987/AL/II/29

An economic theory is useful or testable if

- A. it is potentially refutable by facts.
- B. it is logically consistent.
- C. it is not always true.
- D. all of the above.

1998/AL/II/22 (modified)

Which of the following are refutable by facts?

- (1) The area of Victoria Park is greater than that of Kowloon Park.
 - (2) Visitors should not litter in public area.
 - (3) The quantity of vegetables supplied increases because more quantities are available for sale.
 - (4) The price of vegetables increases because the cost of production rises.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (3) and (4) only
 - D. (1), (3) and (4) only

2004/AL/II/03

A necessary condition for a theory to be useful in explaining behaviour is:

- A. that it is always true.
- B. that it must be conceivably false.
- C. that it is rejected by facts some of the time.
- D. that it is supported by facts most of the time.

2011/AL/II/03

Economics is a positive science because

- A. its theories contain testable implications.
- B. it yields predictions in the form of "if A then B".
- C. (out of syllabus)
- D. Both (A) and (B) are correct.

SP/DSE/I/03

A positive statement

- A. is always true.
- B. is refutable with facts.
- C. may contain a value judgment.
- D. may be the same as a normative statement if certain values are shared by many people.

2012/DSE/I/01

Which of the following statements are positive statements?

- (1) More workers will be employed on a part-time basis after the imposition of a minimum wage.
 - (2) Less low skilled workers will be unemployed after the imposition of a minimum wage.
 - (3) Meal times should be counted as working time in the calculation of a minimum wage.
 - (4) The imposition of a minimum wage widens the income gap between the rich and the poor.
- A. (2) and (3) only
 - B. (1) and (4) only
 - C. (1), (2) and (3) only
 - D. (1), (2) and (4) only

2015/DSE/I/01

Which of the following are positive statements?

- (1) Importation of labour from the mainland would result in a rise in job vacancies in Hong Kong.
 - (2) It would be better to import labour from Guangdong province because they can speak Cantonese.
 - (3) Productivity of labour from China is higher than that from other Southeast Asian countries.
 - (4) Unemployment rate in Hong Kong would raise by 15% as a result of labour importation of 30 000 from the mainland.
- A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (3) and (4) only
 - D. (2), (3) and (4) only

2018/DSE/I/04

The following statements are adapted from the 2017-18 Budget Speech by the Financial Secretary of Hong Kong.

Statement (1): The global economy in 2016 recorded the slowest growth since the global financial crisis.

Statement (2): For 2016 as a whole, there was a growth of 1.9%, consistent with the 1% to 2% economic growth as forecast in last year's Budget.

Statement (3): While recognising the effect of market forces, the Government should play an active role as a facilitator by taking forward appropriate policies with good use of public resources.

Which of the above is a normative statement / are normative statements?

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

2021/DSE/I/01

Refer to the following statements made by Peter and Mary.

Peter: As a developed economy, Hong Kong's Gini coefficient is too high.

Mary: Hong Kong's Gini coefficient is the highest in Asia.

_____ statement is _____ because _____.

- A. Peter's ... positive ... most people agree with it
- B. Peter's ... normative ... it is inconsistent with the real world data
- C. Mary's ... positive ... it can be rejected by fact
- D. Mary's ... normative ... value judgment is involved in the statement

2023/DSE/I/4

Which of the following is a normative statement / are normative statements?

- (1) Launching consumption voucher schemes will lead to inflation.
 - (2) Promoting tourism is the most appropriate way to stimulate economic growth.
 - (3) The government should continue to attract Mainland enterprises to invest in Hong Kong.
- A. (1) only
 - B. (3) only
 - C. (1) and (2) only
 - D. (2) and (3) only

2025/DSE/I/25

When the per capita real gross domestic product (GDP) of a country decreases, the general living standard of the country may still improve if _____.

- (1) there are more non-marketed goods in the country
 - (2) the working hours of the country's residents increases
 - (3) the general price level of the country decreases
- A. (1) only
 - B. (2) only
 - C. (1) and (3) only
 - D. (2) and (3) only

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Short & Structured Questions

2022/DSE/II/5(b)

Country D introduced a short-term capital gains tax (STCGT) on property market.

Capital gains (\$)	STCGT rate (%)
10 000 or below	8
10 001 to 50 000	16
50 001 to 100 000	24
100 001 or above	32

STCGT is a tax on capital gains from the sale of a property held for less than 1 year.

A spokesman of the tax department said that a new computer system had been developed for STCGT. Although the system cost more than 1 billion dollars, it allowed tax payers to check and pay the amount of STCGT online easily.

- (b) 'The introduction of STCGT would not relieve the problem of rising property prices,' Explain whether this is a positive statement or a normative statement. (2 marks)